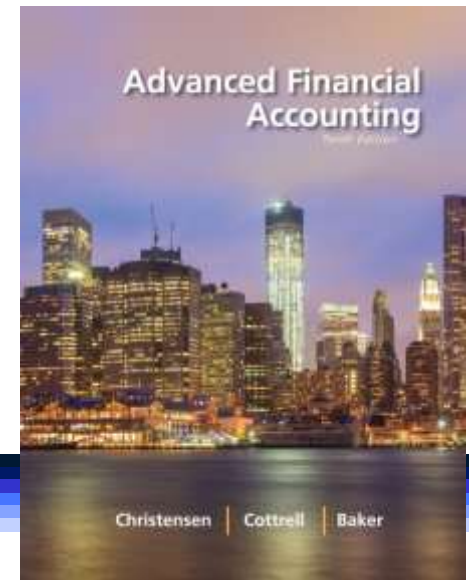


Chapter 9



Consolidation Ownership Issues



General Overview

- ◆ **The following topics are discussed in this chapter:**
 1. Subsidiary preferred stock outstanding
 2. Changes in the parent's ownership interest in the subsidiary
 3. Multiple ownership levels
 4. Reciprocal or mutual ownership
 5. Subsidiary stock dividends
 6. Ownership interests other than common stock



Learning Objective 9-3

Make calculations and explain how consolidation procedures differ when the parent's ownership interest changes during the accounting period.



Example 4: Parent Buys Additional Shares

- ◆ **Parent's purchase of additional shares from non-affiliate:**
 - Effects of multiple purchases of a subsidiary's stock on the consolidation process are illustrated in the following example:

Assume that on January 1, 20X1, Snoopy has \$150,000 of common stock outstanding and retained earnings of \$250,000. During 20X0, 20X1, and 20X2, Snoopy reports the following information:

Period	Net Income	Dividends	Ending Book Value
20X0			\$400,000
20X1	60,000	\$10,000	450,000
20X2	35,000	20,000	465,000



Example 4: Parent Buys Additional Shares

Peanut Products purchases its 75 percent interest in Snoopy in several blocks, as follows:

Purchase Date	Ownership Percentage Acquired	Cost	Book Value	Differential
January 1, 20X1	25%	\$ 105,000	\$ 100,000	\$5,000
January 1, 20X2	50%	240,000	225,000	15,000
	75%			

All of the differential relates to land held by Snoopy. Note that Peanut does not gain control of Snoopy until January 1, 20X2.



Example 4: Parent Buys Additional Shares

The investment account on Peanut's books includes the following amounts through 20X1:

20X1

Purchase shares (January 1)	\$105,000)
Equity-method income ($\$60,000 \times 0.25$)	15,000
Dividends ($\$10,000 \times 0.25$)	<u>(2,500)</u>
Balance in investment account (December 31)	\$117,500



Example 4: Parent Buys Additional Shares

Under **ASC 805**, Peanut must remeasure the equity interest it already held in Snoopy to its fair value at the date of combination and recognize a gain or loss for the difference between the fair value and its carrying amount:

Fair value of equity interest already held	\$120,000
Carrying amount of investment, December 31, 20X1	<u>(117,500)</u>
Gain on increase in value of investment in Snoopy	<u>\$ 2,500</u>

The total balance of the investment account on Peanut's books immediately after the combination is:

Carrying amount of investment, December 31, 20X1	\$117,500
Increase in value of investment in Snoopy	2,500
Cost of January 1, 20X2, shares acquired	<u>240,000</u>
Peanut's total recorded amount of investment	<u>\$360,000</u>



Example 4: Parent Buys Additional Shares

Because Peanut Products gains control of Snoopy on January 1, 20X2, consolidated statements are prepared for the year 20X2. The ending balance in the Investment in Snoopy account at the end of 20X2 is calculated as follows:

Investment in Snoopy		
12/31/X1 Balance	117,500	
Fair Value Adjustment	2,500	
Purchase 50% CS	240,000	
1/1/X2 Balance	360,000	
75% Net Income	26,250	
		15,000 75% of Dividend
12/31/X2 Balance	371,250	



Example 4: Parent Buys Additional Shares

The investment account on Peanut's books includes the following amounts through 20X1:

20X1

Purchase shares (January 1)	\$105,000)
Equity-method income ($\$60,000 \times 0.25$)	15,000
Dividends ($\$10,000 \times 0.25$)	<u>(2,500)</u>
Balance in investment account (December 31)	\$117,500

20X2

Fair value adjustment	2,500
Purchase of shares (January 1)	240,000
Equity-method income ($\$35,000 \times 0.75$)	26,250
Dividends ($\$20,000 \times 0.75$)	<u>(15,000)</u>
Balance in investment account (December 31)	\$371,250



Example 4: Parent Buys Additional Shares

In order to prepare the consolidation worksheet at the end of the year, we first analyze the book value component to construct the basic elimination entry:

Book Value Calculations:

	NCI 25%	+	Peanut 75%	=	Common Stock	+	Retained Earnings
Original Book Value	112,500		337,500		150,000		300,000
+ Net Income	8,750		26,250				35,000
– Dividends Declared	(5,000)		(15,000)				(20,000)
Ending Book Value	116,250		348,750		150,000		315,000

Basic Elimination Entry

Common Stock	150,000	←	Original amount invested (100%)
Retained Earnings	300,000	←	Beginning balance in RE
Income from Snoopy	26,250	←	Peanut's share of reported NI
NCI in NI of Snoopy	8,750	←	NCI share of reported NI
Dividends Declared	20,000	←	100% of dividends
Investment in Snoopy	348,750	←	Net amount of BV left in inv. acct.
NCI in NA of Snoopy	116,250	←	NCI's share of net book value



Example 4: Parent Buys Additional Shares

When Peanut gains control of Snoopy on January 1, 20X2, assume that the fair value of the 25 percent equity interest it already holds in Snoopy is \$120,000, and the fair value of Snoopy's 25 percent remaining noncontrolling interest after the additional purchase is also \$120,000. The book value of Snoopy as a whole on that date is \$450,000. Under **ASC 805**, the differential at the date of combination is computed as follows:

Fair value of consideration exchanged	\$240,000
Fair value of equity interest already held	120,000
Fair value of noncontrolling interest	120,000
	\$480,000
Book value of Snoopy	(450,000)
Differential	\$ 30,000

Because all of the differential relates to land, it is not amortized or written off either on Peanut's books or for consolidation.



Example 4: Parent Buys Additional Shares

We then analyze the differential and its changes during the period:

Excess Value (Differential) Calculations:

	NCI 25%	+	Peanut 25%	=	Land
Beginning Balance	7,500		22,500		30,000
Amortization	0		0		0
Ending Balance	7,500		22,500		30,000

Land	30,000	←	Excess value from undervalued land
Investment in Snoopy	22,500	←	Peanut's share of excess value
NCI in NA of Snoopy	7,500	←	NCI's share of excess value



Changes in Parent Company Ownership

- ◆ **A parent's sale of subsidiary shares to a non-affiliate:**
 - When a parent sells some shares of a subsidiary but continues to hold a controlling interest, **ASC 810** makes clear that this is considered to be an **equity transaction** and no gain or loss may be recognized in consolidated net income.
 - An adjustment is required to the amount assigned to the **noncontrolling** interest to reflect its change in ownership of the subsidiary.



Changes in Parent Company Ownership

- ◆ **A parent's sale of subsidiary shares to a non-affiliate:**
 - The difference between the fair value of the consideration exchanged and the adjustment to the noncontrolling interest results in an adjustment to the stockholders' equity attributable to the controlling interest.
 - Some parent companies **might choose** to recognize a gain on their separate books.
 - A better alternative is to avoid recognizing a gain that **later** will have to be **eliminated** and instead recognize an increase in **additional paid-in capital**.



Changes in Parent Company Ownership

- ◆ **A subsidiary's sale of additional shares to a non-affiliate:**
 - **increases** the total stockholders' equity of the consolidated entity by the amount received by the subsidiary from the sale.
 - increases the subsidiary's total shares outstanding and **reduces** the percentage ownership held by the parent.
 - increases the dollar amount assigned to the **noncontrolling** interest in the consolidated financial statements.



Changes in Parent Company Ownership

- ◆ **The resulting amounts of the controlling and noncontrolling interests are affected by two factors:**
 1. The number of shares sold to non-affiliates, and
 2. The price at which the shares are sold to non-affiliates.



Changes in Parent Company Ownership

- ◆ **Difference between book value and sale price of subsidiary shares:**
 - If the sale price of new shares **equals** the book value of outstanding shares, there is **no change** in the existing shareholders' claim.
 - The consolidation eliminating entries are changed to recognize the increase in the claim of the noncontrolling shareholders and the corresponding increase in the stockholders' equity balances of the subsidiary.



Changes in Parent Company Ownership

- ◆ **When the sale price and book value are not the same:**
 - all common shareholders are assigned a pro rata portion of the difference.
 - the book value of the subsidiary's shares held by the parent changes.
 - this change is recognized by the parent by adjusting the carrying amount of its **investment in the subsidiary** and additional paid-in capital.
 - the parent's **additional paid-in capital** is then carried to the workpaper in consolidation.



Example 5: Parent Sells Stock to Non-Affiliate

Assume Peanut acquired 75% of Snoopy's voting stock for \$300,000 (an amount equal to 75% of the book value of net assets). At the time of the acquisition, Snoopy had common stock of \$150,000, retained earnings of \$250,000. During 20X1, the first fiscal year after the acquisition, Snoopy reported net income of \$60,000 and declared dividends of \$20,000. Assume Peanut sold some of its shares to a non-affiliated party for \$25,000 cash, recording a gain of \$3,000. Peanut's new post-sale ownership percentage was 70%. In 20X2, Snoopy had income of \$70,000 and paid dividends of \$30,000.



Example 5: Parent Sells Stock to Non-Affiliate

Investment in Snoopy		
Acquisition	300,000	
75% of 20X1 NI	45,000	
		15,000 75% of 20X1 Div.
12/31/X1 Balance	330,000	
		22,000 Shares sold to NCI
70% of 20X2 NI	49,000	
		21,000 70% of 20X2 Div.
12/31/X2 Balance	336,000	

Cash	25,000	
Investment in Snoopy		22,000
Gain on Sale of Snoopy Stock		3,000



Example 5: Parent Sells Stock to Non-Affiliate

In order to prepare the consolidation worksheet at the end of the year, we first analyze the book value component to construct the basic elimination entry:

Book Value Calculations:

	NCI 30%	+	Peanut 70%	=	Common Stock	+	Retained Earnings
Original Book Value	132,000		308,000		150,000		290,000
+ Net Income	21,000		49,000				70,000
– Dividends Declared	(9,000)		(21,000)				(30,000)
Ending Book Value	144,000		336,000		150,000		330,000

Basic Elimination Entry

Common Stock	150,000	←	Original amount invested (100%)
Retained Earnings	290,000	←	Beginning balance in RE
Income from Snoopy	49,000	←	Peanut's share of reported NI
NCI in NI of Snoopy	21,000	←	NCI share of reported NI
Dividends Declared	30,000	←	100% of dividends
Investment in Snoopy	336,000	←	Net amount of BV left in inv. acct.
NCI in NA of Snoopy	144,000	←	NCI's share of net book value



Example 5: Parent Sells Stock to Non-Affiliate

In 20X2, the gain on the sale of the shares is reclassified to additional paid-in capital with an elimination entry:

Gain on the Sale of Stock	3,000	
Additional Paid-in Capital		3,000

In subsequent years, an additional elimination entry must be made to continue to reclassify the gain from retained earnings to additional paid-in capital:

Retained Earnings	3,000	
Additional Paid-in Capital		3,000



Changes in Parent Company Ownership

- ◆ A subsidiary's sale of additional shares to the parent at a price equal to the book value of the existing shares.
 - A sale of additional shares directly from a less-than-wholly owned subsidiary to its parent **increases** the parent's ownership percentage.
 - The increase in the parent's investment account **equals** the increase in the stockholders' equity of the subsidiary.
 - The net book value assigned to the noncontrolling interest remains **unchanged**.
 - **Normal** elimination entries are made based on the parent's new ownership percentage.



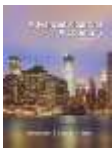
Changes in Parent Company Ownership

- ◆ **A subsidiary's sale of additional shares to the parent at an amount other than book value.**
 - It **increases** the carrying amount of its investment by the fair value of the consideration given.
 - In consolidation, the amount of the noncontrolling interest must be **adjusted** to reflect the change in its interest in the subsidiary.
 - ASC 810 then requires an adjustment to consolidated additional paid-in capital for the difference between any consideration given or received by the consolidated entity and the amount of the adjustment to the noncontrolling interest.



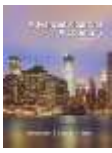
Changes in Parent Company Ownership

- ◆ A subsidiary's sale of additional shares to the parent at an amount other than book value.
 - If the shares are sold at an amount **equal** to the book value of common equity, the value of the NCI in net assets **will not change**.
 - If the shares are sold at an amount **greater** than the book value of common equity, the value of the NCI in net assets **will increase**.
 - If the shares are sold at an amount **less** than the book value of common equity, the value of the NCI in net assets **will decrease**.



Example 6a: Sub Sells Parent Additional Shares

Assume Peanut acquired 75% of Snoopy's **no par** voting stock **(7,500 shares)** on 1/1 20X1 for \$300,000 (an amount equal to 75% of the book value of net assets). At the time of the acquisition, Snoopy had common stock of \$150,000, retained earnings of \$250,000. During 20X1, the first fiscal year after the acquisition, Snoopy reported net income of \$60,000 and declared dividends of \$20,000. **Assume Snoopy sold Peanut 2,500 additional shares for \$130,000 on 1/1/20X2, increasing Peanut's ownership percentage to 80%.**



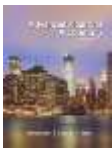
Example 6a: Sub Sells Parent Additional Shares

The book value per share of common equity prior to the issuance of the new shares is:

Common Stock	\$150,000
Retained Earnings	<u>290,000</u>
Total BV of Equity	\$440,000

$$\text{BV per share} = \$440,000 \div 10,000 = \$44/\text{share}$$

Since the new shares are issued at \$52/share (\$130,000 ÷ 2,500), which is greater than the \$44 BV per share, the value of the NCI in NA will **INCREASE by \$4,000:**

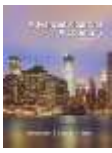


Example 6a: Sub Sells Parent Additional Shares

	<u>Before Sale</u>	<u>Following Sale</u>
Common stock	\$150,000	\$280,000
Retained earnings	<u>290,000</u>	<u>290,000</u>
Total Stockholders' Equity	\$440,000	\$570,000

	<u>Before Sale</u>	<u>Following Sale</u>
Snoopy's total stockholders' equity	\$440,000	\$570,000
Peanut's proportionate share	<u>75%</u>	<u>80%</u>
Book value of Peanut's investment	\$330,000	\$456,000

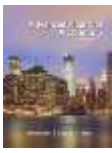
NCI after sale ($\$570,000 \times 0.20$)	\$114,000
NCI before sale ($\$440,000 \times 0.25$)	<u>(110,000)</u>
Increase in book value of NCI	\$4,000



Example 6a: Sub Sells Parent Additional Shares

Although Peanut pays \$130,000 for the additional 2,500 shares, the NCI increases by \$4,000, reducing the value of Peanut's investment in these shares to \$126,000 ($130,000 - 4,000$):

Investment in Snoopy		
Acquisition	300,000	
75% of 20X1 NI	45,000	
		15,000 75% of 20X1 Div.
12/31/X1 Balance	330,000	
Value of the shares purchased	126,000	
1/1/X2 Balance	456,000	



Example 6a: Sub Sells Parent Additional Shares

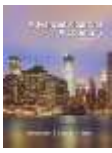
In order to prepare the consolidation worksheet on the date the additional shares are purchased, we first analyze the book value component to construct the basic elimination entry:

Book Value Calculations:

	NCI 25%/20%	+ Peanut 75%/80%	= Common Stock	+ Retained Earnings
Before Purchase Book Value	110,000	330,000	150,000	290,000
New Shares Issued	4,000	126,000	130,000	
Ending Book Value	114,000	456,000	280,000	290,000

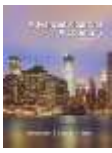
Basic Elimination Entry

Common Stock	280,000	← Original amount invested (100%)
Retained Earnings	290,000	← Beginning balance in RE
Investment in Snoopy	456,000	← Net amount of BV left in inv. acct.
NCI in NA of Snoopy	114,000	← NCI's share of net book value



Example 6b: Sub Sells Parent Additional Shares

Assume Peanut acquired 75% of Snoopy's **no par** voting stock **(7,500 shares)** on 1/1 20X1 for \$300,000 (an amount equal to 75% of the book value of net assets). At the time of the acquisition, Snoopy had common stock of \$150,000, retained earnings of \$250,000. During 20X1, the first fiscal year after the acquisition, Snoopy reported net income of \$60,000 and declared dividends of \$20,000. **Assume Snoopy sold Peanut 2,500 additional shares for \$80,000 on 1/1/20X2, increasing Peanut's ownership percentage to 80%.**



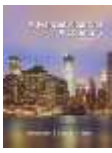
Example 6b: Sub Sells Parent Additional Shares

The book value per share of common equity prior to the issuance of the new shares is:

Common Stock	\$150,000
Retained Earnings	<u>290,000</u>
Total BV of Equity	\$440,000

$$\text{BV per share} = \$440,000 \div 10,000 = \$44/\text{share}$$

Since the new shares are issued at \$32/share (\$80,000 $\div$ 2,500), which is less than the \$44 BV per share, the value of the NCI in NA will **DECREASE by \$6,000:**

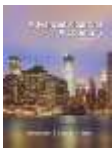


Example 6b: Sub Sells Parent Additional Shares

	<u>Before Sale</u>	<u>Following Sale</u>
Common stock	\$150,000	\$230,000
Retained earnings	<u>290,000</u>	<u>290,000</u>
Total Stockholders' Equity	\$440,000	\$520,000

	<u>Before Sale</u>	<u>Following Sale</u>
Snoopy's total stockholders' equity	\$440,000	\$520,000
Peanut's proportionate share	<u>75%</u>	<u>80%</u>
Book value of Peanut's investment	\$330,000	\$416,000

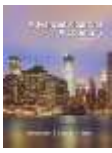
NCI after sale ($\$520,000 \times 0.20$)	\$104,000
NCI before sale ($\$440,000 \times 0.25$)	<u>(110,000)</u>
Decrease in book value of NCI	(\$6,000)



Example 6b: Sub Sells Parent Additional Shares

Although Peanut pays \$80,000 for the additional 2,500 shares, the NCI decreases by \$6,000, increasing the value of Peanut's investment in these shares to \$86,000 ($80,000 + 6,000$):

Investment in Snoopy		
Acquisition	300,000	
75% of 20X1 NI	45,000	
		15,000 75% of 20X1 Div.
12/31/X1 Balance	330,000	
Value of the shares purchased	86,000	
1/1/X2 Balance	416,000	



Example 6b: Sub Sells Parent Additional Shares

In order to prepare the consolidation worksheet on the date the additional shares are purchased, we first analyze the book value component to construct the basic elimination entry:

Book Value Calculations:

	NCI 25%/20%	+ Peanut 75%/80%	=	Common Stock	+ Retained Earnings
Before Purchase Book Value	110,000	330,000		150,000	290,000
New Shares Issued	(6,000)	86,000		80,000	
Ending Book Value	104,000	416,000		230,000	290,000

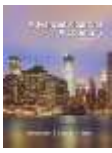
Basic Elimination Entry

Common Stock	230,000	←	Original amount invested (100%)
Retained Earnings	290,000	←	Beginning balance in RE
Investment in Snoopy	416,000	←	Net amount of BV left in inv. acct.
NCI in NA of Snoopy	104,000	←	NCI's share of net book value



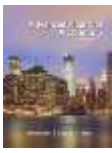
Changes in Parent Company Ownership

- ◆ **A subsidiary's purchase of shares from a non-affiliate.**
 - Sometimes a subsidiary purchases treasury shares from noncontrolling shareholders, who may be willing sellers.
 - The parent's equity in the net assets of the subsidiary may change as a result of the transaction.
 - When this occurs, the amount of the change must be recognized in preparing the consolidated statements.



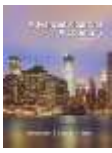
Example 7: Sub Buys Shares from Non-Affiliate

Assume Peanut acquired 75% of Snoopy's voting stock (7,500 shares) on 1/1 20X1 for \$300,000 (an amount equal to 75% of the book value of net assets). At the time of the acquisition, Snoopy had common stock of \$150,000, retained earnings of \$250,000. During 20X1, the first fiscal year after the acquisition, Snoopy reported net income of \$60,000 and declared dividends of \$20,000. Assume Snoopy repurchased 625 shares for \$40,000 on 1/1/20X2 from a non-affiliate.



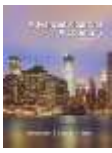
Example 7: Sub Buys Shares from Non-Affiliate

Investment in Snoopy		
Acquisition	300,000	
75% of 20X1 NI	45,000	
		15,000 75% of 20X1 Div.
12/31/X1 Balance	330,000	
		10,000 Shares Purchased from NCI
1/1/X2 Balance	320,000	



Example 7: Sub Buys Shares from Non-Affiliate

	<u>Before Repurchase</u>	<u>After Repurchase</u>
Peanut's Shares	7,500	7,500
NCI's Shares	2,500	1,875
Total Shares	10,000	9,375
	75%	80%

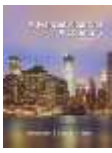


Example 7: Sub Buys Shares from Non-Affiliate

	Before Repurchase	After Repurchase
Common stock	\$250,000	\$250,000
Retained earnings	<u>190,000</u>	<u>190,000</u>
Total Stockholders' Equity	440,000	440,000
Less: Treasury stock	<u> </u>	<u>(40,000)</u>
Total Stockholders' Equity	\$440,000	\$400,000

	Before Repurchase	After Repurchase
Snoopy's total stockholders' equity	\$440,000	\$400,000
Peanut's proportionate share	<u>75%</u>	<u>80%</u>
Book value of Peanut's investment	\$330,000	\$320,000

NCI after sale ($\$400,000 \times 0.20$)	\$80,000
NCI before sale ($\$440,000 \times 0.25$)	<u>(110,000)</u>
Decrease in book value of NCI	(\$30,000)



Example 7: Sub Buys Shares from Non-Affiliate

In order to prepare the consolidation worksheet on the date the additional shares are purchased, we first analyze the book value component to construct the basic elimination entry:

Book Value Calculations:

	NCI 25%/20%	+ Peanut 75%/80%	=	Common Stock	+ Treasury Stock	+ Retained Earnings
BV Before Repurchase	110,000	330,000		250,000		190,000
Shares Repurchased	(30,000)	(10,000)			(40,000)	
Ending Book Value	80,000	320,000		250,000	(40,000)	190,000

Basic Elimination Entry

Common Stock	250,000	←	Original amount invested (100%)
Retained Earnings	190,000	←	Beginning balance in RE
Treasury Stock	40,000	←	Treasury stock
Investment in Snoopy	320,000	←	Net amount of BV left in inv. acct.
NCI in NA of Snoopy	80,000	←	NCI's share of net book value



Changes in Parent Company Ownership

- ◆ **A subsidiary's purchase of shares from the parent.**
 - When this happens, the parent has traditionally recognized a gain or loss on the difference between the selling price and the change in the carrying amount of its investment.
 - From a consolidated viewpoint, the transaction represents an internal transfer and does not give rise to a gain or loss.
 - A better approach is for the parent to adjust additional paid-in capital.



Example 8: Sub Buys Shares from Parent

Assume Peanut acquired 75% of Snoopy's voting stock (7,500 shares) on 1/1 20X1 for \$300,000 (an amount equal to 75% of the book value of net assets). At the time of the acquisition, Snoopy had common stock of \$150,000, retained earnings of \$250,000. During 20X1, the first fiscal year after the acquisition, Snoopy reported net income of \$60,000 and declared dividends of \$20,000. Assume Snoopy repurchased 3,750 shares for \$40,000 on 1/1/20X2 from Peanut.



Example 8: Sub Buys Shares from Parent

Investment in Snoopy		
Acquisition	300,000	
75% of 20X1 NI	45,000	
		15,000 75% of 20X1 Div.
12/31/X1 Balance	330,000	
		90,000 Shares Purchased from Peanut
1/1/X2 Balance	240,000	



Example 8: Sub Buys Shares from Parent

	Before Repurchase	After Repurchase
Peanut's Shares	7,500	3,750
NCI's Shares	2,500	2,500
Total Shares	10,000	6,250
	75%	60%



Example 8: Sub Buys Shares from Parent

	Before Repurchase	After Repurchase
Common stock	\$250,000	\$250,000
Retained earnings	<u>190,000</u>	<u>190,000</u>
Total Stockholders' Equity	440,000	440,000
Less: Treasury stock	<u> </u>	<u>(40,000)</u>
Total Stockholders' Equity	\$440,000	\$400,000

	Before Repurchase	After Repurchase
Snoopy's total stockholders' equity	\$440,000	\$400,000
Peanut's proportionate share	<u>75%</u>	<u>60%</u>
Book value of Peanut's investment	\$330,000	\$240,000

NCI after sale ($\$400,000 \times 0.20$)	\$160,000
NCI before sale ($\$440,000 \times 0.25$)	<u>(110,000)</u>
Increase in book value of NCI	\$50,000



Example 8: Sub Buys Shares from Parent

In order to prepare the consolidation worksheet on the date the additional shares are purchased, we first analyze the book value component to construct the basic elimination entry:

Book Value Calculations:

	NCI 40%	+ Peanut 60%	=	Common Stock	+ Treasury Stock	+ Retained Earnings
BV Before Repurchase	110,000	330,000		250,000		190,000
Shares Repurchased	50,000	(90,000)			(40,000)	
Ending Book Value	160,000	240,000		250,000	(40,000)	190,000

Basic Elimination Entry

Common Stock	250,000	← Original amount invested (100%)
Retained Earnings	190,000	← Beginning balance in RE
Treasury Stock	40,000	← Treasury stock
Investment in Snoopy	240,000	← Net amount of BV left in inv. acct.
NCI in NA of Snoopy	160,000	← NCI's share of net book value



The End